

19NWCV00176 19NWCV00176

County: los-angeles

Division: Civil Law and Motion

Department: C

Hearing date: 2026-09-16

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SE%20%2CC%2C09%2F16%2F2026

Source SHA-256: 67177619ea40f64cc9cd90643c9e49aee3b78927858fa5f204ef1065fa4891d7

Case Number: 19NWCV00176 Hearing Date: September 16, 2026 Dept: C

MATTA vs TMX FINANCE OF CALIFORNIA, INC.

CASE NO.: 19NWCV00176

HEARING: 9/16/26 @ 9:30 AM

#9

TENTATIVE

RULING

Plaintiff

Steve Matta's Unopposed Motion for Approval of PAGA Settlement is GRANTED.

Moving Party to give NOTICE.

Plaintiff Steve

Matta (Plaintiff) moves

for an order granting approval pursuant to California Labor Code § 2699(l) of the parties' proposed Settlement Agreement of claims brought by Plaintiff pursuant to Private Attorneys General Act, California Labor Code (Cal. Lab. Code §§ 2698, et seq.) and related requests.

Background

Defendant

TitleMax of California, Inc. (Defendant) was in the consumer finance and automobile title-lending business and operated retail lending locations

throughout California until they ceased their California operations on or about May 31, 2020. Plaintiff was classified as a non-exempt, hourly employee and worked for Defendant as a General Manager from approximately October 2015 until approximately September 2018. (Messrelian Decl., ¶ 4.) On November 6, 2018, Plaintiff on behalf of himself and Defendant's California non-exempt employees (hereafter collectively the "Aggrieved Employees") gave written notice by electronic service to the California Labor and Workforce Development Agency ("LWDA") and via certified mail to Defendant of their claims against Defendant, which Plaintiff thereafter amended by letter dated November 14, 2018 and by his operative Second Amended PAGA Notice dated February 25, 2019.

Through

informal discovery, Defendant produced records and represented that they employed approximately 370 employees falling within Plaintiff's Aggrieved Employees definition for the period from February 19, 2018 through May 31, 2020, and that there are paychecks issued for a total of approximately 11,000 pay periods worked for that same time period. (Messrelian Decl., ¶ 6.)

The

Settlement Agreement covers PAGA Members, which are Aggrieved Employees employed on or after February 19, 2018, through May 31, 2020. (Messrelian Decl., ¶ 7.)

Legal Standard

Labor

Code § 2699(l)(2) states: "The superior court shall review and approve any settlement of any civil action filed pursuant to this part [Labor Code Private Attorneys General Act of 2004 ("PAGA")]. The proposed settlement shall be submitted to the [Labor and Workforce Development Agency ("LWDA")] at the same time that it is submitted to the court." Any settlement of any civil action filed under PAGA must be "fair and adequate in view of the purposes and policies of the statute." (Flores v. Starwood Hotels & Resorts Worldwide, Inc. (C.D. Cal. 2017) 253 F.Supp.3d 1074, 1077, quoting O'Connor v. Uber Technologies, Inc. (N.D. Cal. 2016) 201 F.Supp.3d 1110, 1135.)

Seventy-five

percent of all PAGA penalties must be paid to the LWDA. (See Lab. Code, § 2699(i) ["Except as provided in subdivision (j), civil penalties

recovered by aggrieved employees shall be distributed as follows: 75 percent to the Labor and Workforce Development Agency for enforcement of labor laws and education of employers and employees about their rights and responsibilities under this code, to be continuously appropriated to supplement and not supplant the funding to the agency for those purposes; and 25 percent to the aggrieved employees.”].) Courts have discretion to approve settlements that do not allocate any penalty amount. (Nordstrom Com. Cases (2010) 186 Cal.App.4th 576, 589). Labor Code § 2699(g)(1) provides, in relevant part: “Any employee who prevails in any action shall be entitled to an award of reasonable attorney’s fees and costs” (Lab. Code, § 2699(g)(1).)

Discussion

A. Settlement

With respect to the distribution of the PAGA settlement, the Court finds the parties’ agreement is proper. The parties engaged in arms-length settlement negotiations after informal discovery. (Messrelian Decl., ¶¶ 7-9.)

In exchange for a release of the PAGA claim, Defendant is providing substantial compensation to the State of California and the Aggrieved Employees in the form of penalties. (Messrelian Decl., Exh.) Specifically, Defendant have agreed to a payment of \$185,000 (the “Gross Settlement Amount”). (Id., Exh 1.) After deducting amounts for requested attorneys’ fees and costs, settlement administration costs, and Plaintiff’s service award, the remaining Net Settlement Amount distributable to the Aggrieved Employees and the LWDA is \$177,478.26. (Messrelian Decl., ¶ 3.)

In summary, the monetary terms of the Settlement Agreement are: Total Settlement Amount: \$185,000.00

.

\$91,666.66

(33.33%)) in attorney’s fees to Harout Messrelian, Esq. of Messrelian Law Inc.

.

\$1,855.08

in attorney litigation costs to Harout Messrelian, Esq. of Messrelian Law Inc.

.

\$4,000.00

in PAGA Settlement Administrator costs to the Settlement Administrator (Xpand).

.

\$177,478.26

(the "Net Settlement Amount" or "NSA") will be divided as follows:

o \$133,108.69 (75% of NSA) to the LWDA, which represents civil penalties payable to the LWDA under the Labor Code Private Attorneys General Act ("PAGA"), Labor Code section 2698, et seq.; and

o \$44,369.57 (25% of NSA) (the "PAGA Members Amount") to the PAGA Members, which represents civil penalties payable to the PAGA Members as civil penalties that are allegedly owed in the Action for the period from February 19, 2018 through May 31, 2020.

(Messrelian Decl., ¶ 3, Exh. 1.)

B. Opposition

The motion is unopposed. Concurrently with this motion, as required by PAGA, Plaintiff provided a copy of the Settlement Agreement to the LWDA and informed the LWDA of the hearing on July 7, 2026. (Messrelian Decl., ¶ 29, Exh. 3.)

C. Fairness of the Settlement

PAGA authorizes aggrieved employees to recover civil penalties on behalf of the state, themselves, and other aggrieved employees. As it relates to Plaintiff's argument for meal break violations, Plaintiff's data analysis revealed a shift violation rate of 8.3% for short, late, or no meal breaks for shifts that were 5 hours or greater, which extrapolates to approximately 48% of pay periods having at least one meal period violation. Applying the 48% rate, that amounts to approximately 4,572

affected pay periods [9,526 pay periods x 48%]. As such, the maximum exposure for meal period violations in the PAGA period, which Plaintiff understands Defendant disputes, would be \$228,600. (Messrelian Decl. ¶ 14.) As it relates to Plaintiff's argument for rest break violations, the data revealed that 98.3% of pay periods included shifts of 3.5 hours or greater, such that approximately 10,813 pay periods [11,000 total pay periods x 98.3%] were potentially subject to rest break requirements. Applying the same 48% pay-period violation rate that applies to the meal period claim, that amounts to approximately 5,190 affected pay periods [10,813 pay periods x 48%], and at \$ 100 per pay period the maximum rest break exposure would be approximately \$519,024. Plaintiff recognizes substantial risk on this claim, however, because Defendant did not track rest periods on paper—nor does the law require such tracking, as is common for most California businesses—which makes proof of rest break violations difficult. Discounting the rest period exposure by 50% to account for these risks yields a realistic rest break exposure of approximately \$259,512. (Messrelian Decl. ¶ 14-15.)

However, Plaintiff is aware of no California state court awarding Plaintiff multiple PAGA penalties for the same violation for the same pay period under different Labor Code provisions. As such, one of the risks Plaintiff faces is that the Court would refuse to "stack" civil penalties arising under the various Labor Code statutes. Furthermore, judges have awarded extremely small sums to PAGA claimants in the past. Defendant also adamantly disputes all of Plaintiff's allegations in the operative Complaint. Therefore, Plaintiff considered the remedial and enforcement mechanisms of the PAGA were better served through this settlement than through additional litigation. (Messrelian Decl. ¶ 20-21.)

Considering the above and the settlement sum of \$185,000 in this case, the Settlement is fair and reasonable under the circumstances.

D. Notice

Following approval of the Settlement, in addition to the settlement checks, the PAGA Settlement Letter will be mailed by first-Class mail to each Aggrieved Employee. (Messrelian Decl., ¶ 9, Exh. 1, pp. 6-7.) Aggrieved Employees will have 180 calendar days to cash his or her settlement check. (Id.) Prior to the disbursements of the Employee Payments, the Settlement Administrator shall run a single skip trace for every Aggrieved Employee to determine whether any more recent physical address information than that reflected in Defendant's regularly maintained

records may be found. (Id.)

E. Attorney's Fees and Costs

“Any agreement, express or implied, that has been entered into with respect to the payment of attorney’s fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action.” (Cal. Rules of Court, rule 3.769(b).)

Ultimately, the award of attorney fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-96; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-26; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-36.) In common fund cases, the court may utilize the percentage method, cross-checked by the lodestar. (Laffitte v. Robert Half Int’l, Inc. (2016) 1 Cal.5th 480, 503.) Despite any agreement by the parties to the contrary, “the court ha[s] an independent right and responsibility to review the attorney fees provision of the settlement agreement and award only so much as it determined reasonable.” (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

Plaintiff’s counsel now applies for an award of attorney’s fees of \$91,666.66 (33.3% of the settlement fund created), and litigation costs of \$1,855.08. (Messrelian Decl. ¶ 25.)

The Court finds that the requested attorney’s fees and costs are reasonable after accounting for the time spent, counsel’s experience, and the results achieved by this litigation. Plaintiff’s counsel has undertaken representation at their own expense spending hundreds of hours, with compensation wholly contingent upon providing a benefit to the State of California and the Aggrieved Employees. Messrelian Decl. ¶¶ 25-27.) The State of California and the Aggrieved Employees will benefit by the terms of the proposed Settlement by receiving substantial monetary compensation. (Id.)

F. Civil Penalties

As stated above, with respect to the civil

penalties, the Court finds that the distribution complies with Labor Code section 2699(i), which requires 75 percent of the amount to be paid to the LWDA and 25 percent of the amount to be paid to the aggrieved employees, which consists of all current and former hourly-paid non-exempt employees who worked for Defendant during the PAGA period.

G. Settlement Administration

The Court finds the \$4,000.00 in settlement administration costs is reasonable. The parties have agreed to engage Xpand Legal Consulting, LLC ("Xpand") as the third-party administrator. (Messrelian Decl., ¶ 28, Exh. 2.) Xpand shall be responsible for, among other things, calculating the Employee Payments, and mailing the settlement checks to the Aggrieved Employees and to the LWDA. (Id.)

Based on the foregoing, the motion for approval of PAGA representative action settlement is GRANTED.